

Fearnleys Dry Bulk Weekly

May 12, 2025





Capesize/Newcastlemax

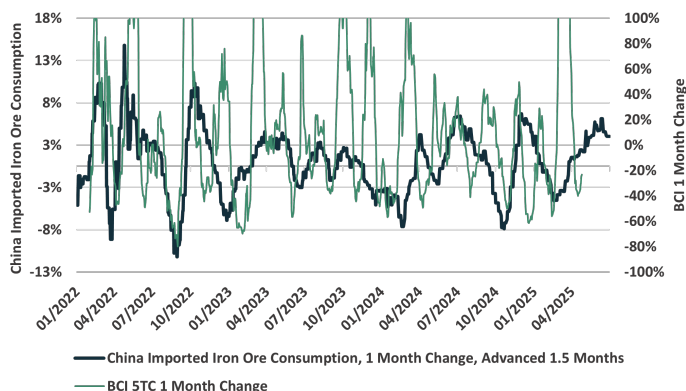
In our previous report two weeks ago, we wrote:

China's imported iron ore consumption increased further last week, and is now higher than at any point last year (but still slightly below the 2023 peak). The fact that the market is not up more already indicates that there is not much strength to trace, except for China's iron ore (and Bauxite) consumption. We still think further gains are likely over the coming weeks, and that a correction in June looks likely.

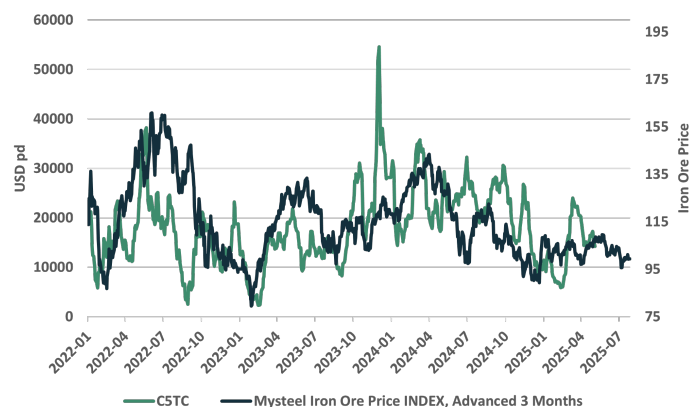
China's imported iron ore consumption has remained high in the previous two weeks, and there have been no significant changes to iron ore inventories. With that considered, shipment volumes from West Australia were lower than what one would expect last week. This could mean the market dip at the end of last week was temporary.

However, from June onwards, indicators are still suggesting weakening fundamentals. The month-on-month change of China's imported iron ore consumption is dropping, the 3-month iron ore price lead points downwards from the start of June, and AIS data for VLOCs are gradually looking more bearish.

China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



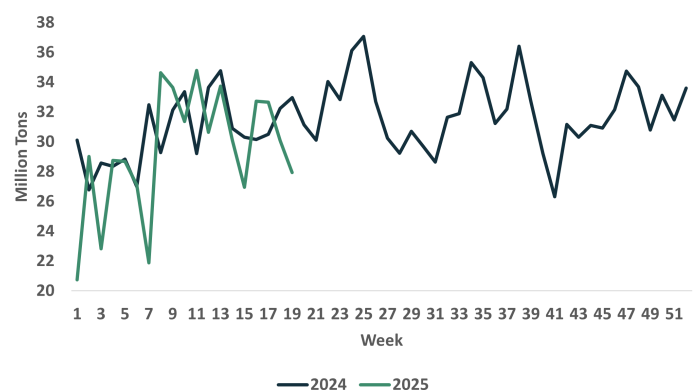
Iron Ore Price, 3 Months Lead vs BCI5TC



Capesize/Newcastlemax Year on Year Fleet Growth



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





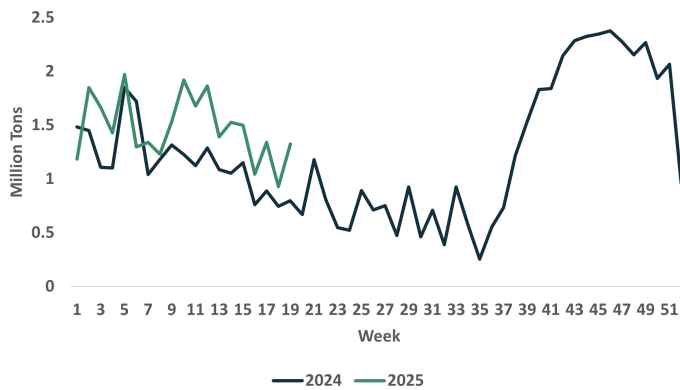
Panamax/Kamsarmax

In our previous report two weeks ago, we wrote:

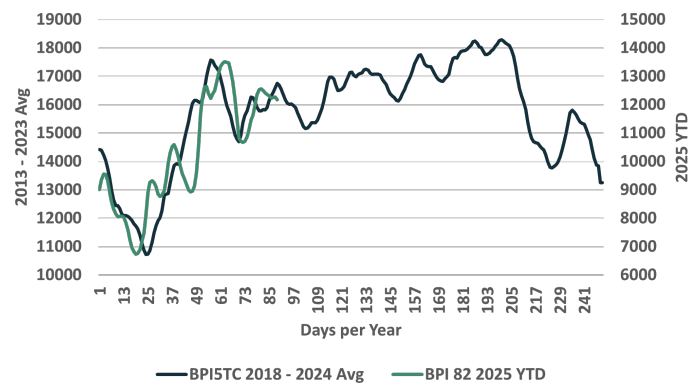
The count of vessels heading to Indonesia has dropped since last week, and Canadian and US grains are in seasonal decline. We therefore do not expect much upside going forward, although continued high volumes from ECSAM should provide support.

The situation remains unchanged. Coal markets and the general macroeconomic situation are weak. Grains from both North and South America have supported the market so far this year. Average market seasonality suggests a dip could be incoming over the next two weeks.

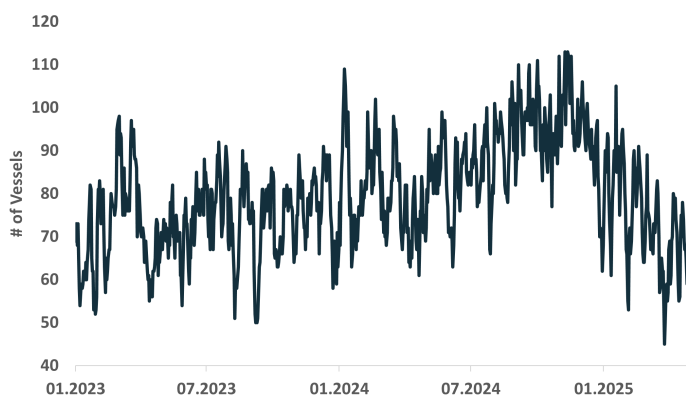
Panamax / Kamsarmax Canada and US Grain Exports



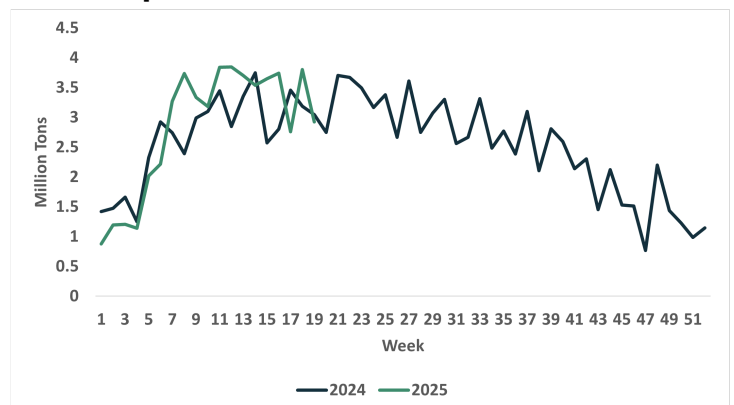
Kamsarmax Market Seasonality



Panamax / Kamsarmax Heading to Indonesia



Panamax / Kamsarmax Argentina and Brazil Grain Exports





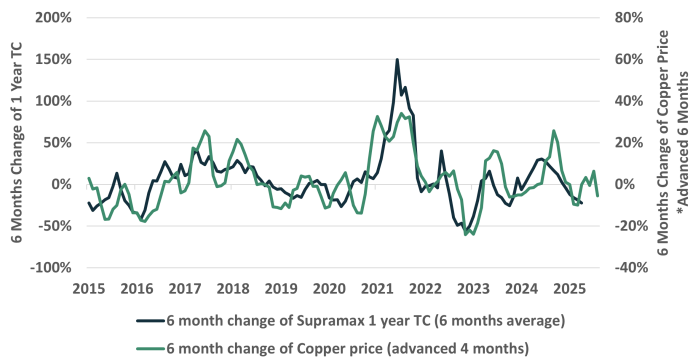
Supramax/Ultramax

In our previous report two weeks ago, we wrote:

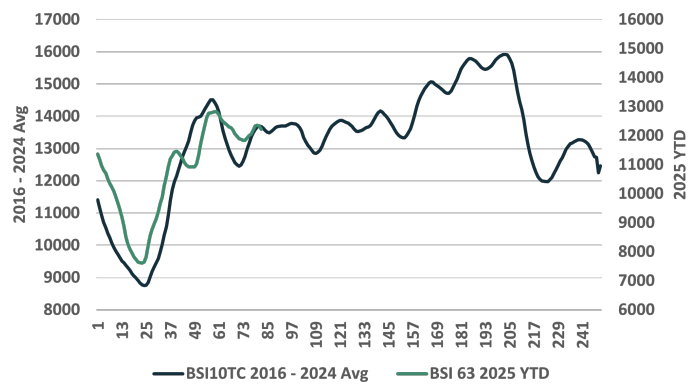
Fleet growth in this segment is running at 5% year on year, whereas shipment volumes are slightly higher than last year. We do not see any sign of a positive demand growth development in the coming months, so the lower year-on-year market is highly likely to continue.

In late March, we wrote that the Supramax-63 index was unlikely to go above 13kpd. Since then, the market has trended sideways. In the next months, the seasonal decline in both North and South American grain shipments is the main downside market risk. Upside potential is harder to find given the weak macroeconomic backdrop

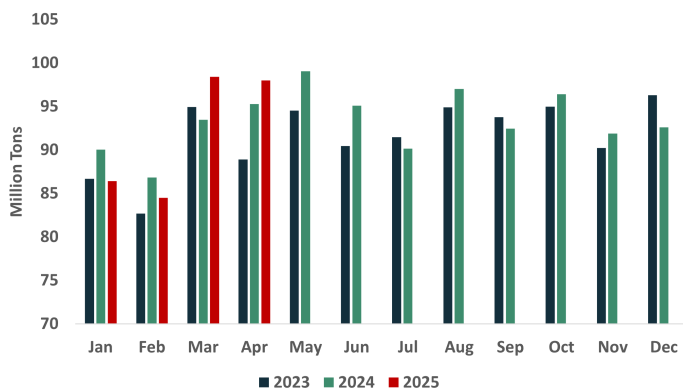
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



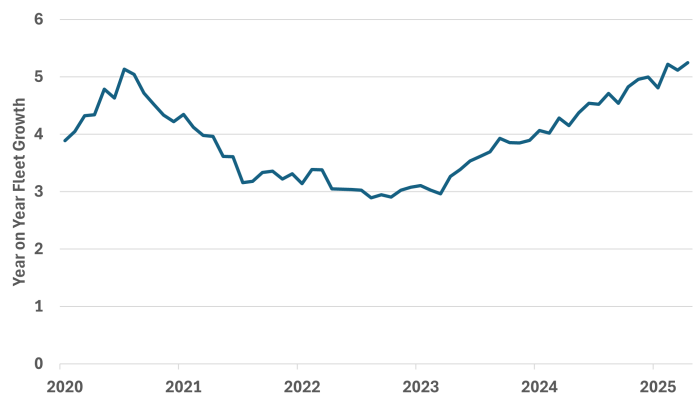
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



Supramax/Ultramax Year on Year Fleet Growth





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